



Justification trajectories for pension inequality in Chile (2016–2023)

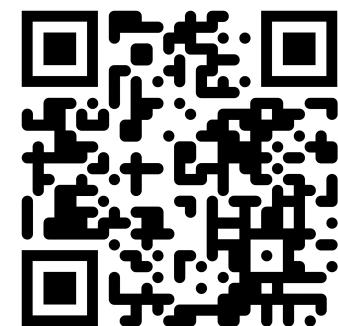
The role of social class and beliefs in meritocracy

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In_equality Conference | Panel 17: Meritocracy and Inequality
Beliefs - April 2026, Universität Konstanz



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Research project

Project

Team



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Agenda

Peer-reviewed Articles

- Castillo, J. C., Salgado, M., Carrasco, K., & Laffert, A. (2024). The Socialization of Meritocracy and Market Justice Preferences at School. *Societies*, 14(11), 214. doi.org/10.3390/soc14110214
- Castillo, J. C., Laffert, A., Carrasco, K., & Iturra-Sanhueza, J. (2025). Perceptions of inequality and meritocracy: their interplay in shaping preferences for market justice in Chile (2016–2023). *Frontiers in Sociology*, 10, 1634219. <https://doi.org/10.3389/fsoc.2025.1634219>
- **Castillo, J. C., Canales Sellés, R., Laffert, A., & Urzúa, T. (2026). Justification trajectories for pension inequality in Chile (2016–2023): the role of social class and beliefs in meritocracy. *Frontiers in Sociology*, 11, 1771856. <https://doi.org/10.3389/fsoc.2026.1771856>**

Forthcoming

- Stability and comparability of meritocratic beliefs in school-age students: A measurement invariance approach across time and cohorts. Andreas Laffert, Juan Carlos Castillo, René Canales, Tomás Urzúa & Kevin Carrasco. *Submitted*.
- Inequality and deservingness in higher education in Chile. A conjoint survey experiment. Juan Carlos Castillo, Andreas Laffert, René Canales & Tomás Urzúa.
- **Pensions' market justice and meritocracy: A structural equation modeling approach. Andreas Laffert, Tomás Urzúa, Juan Carlos Castillo & René Canales.**

Background

The problem

1. Privatization and marketization of public goods, welfare policies, and social services (Gingrich, 2011; Streeck, 2016)
 2. Changes in the institutional architecture of the welfare state; expansion of market logics (Busemeyer & Iversen, 2020; Ferre, 2023)
 3. This economic order is reflected in a specific moral economy and policy feedback dynamics (Campbell, 2020; Fernandez & Jaime-Castillo, 2013; Mau, 2015)
- Market justice preferences (Busemeyer, 2015; Castillo et al., 2025; Koos & Sachweh, 2019; Lindh, 2015)

The Chilean case

- Chile combines high inequality with limited upward mobility and strong elite closure (Flores et al., 2020; López-Roldán & Fachelli, 2021; Torche, 2014)
- Since the dictatorship (1973-1989), neoliberal reforms have deeply privatized and commodified key social services, while preserving strong state dependence (Madariaga, 2020)
- Pensions: a **mandatory individual capitalization** system administered by **private pension funds** (AFP's) (Superintendencia, 2025)
- Pension-related social conflict (Somma et al., 2021) and contested system legitimacy (“not with my money”) (Castillo et al., 2025)

Market justice preferences

- Lane (1986): market justice vs. political justice
- Normative beliefs that legitimize the idea that access to essential social services—such as healthcare, education, or pensions—should be determined by market-based criteria (Lindh, 2015, p. 895)
- Measurement: assessing whether individuals consider it fair that access to these services depends on income (Castillo et al., 2025; Kluegel et al., 1999; Lindh, 2015)

Factors associated with market justice

Individual

- Socioeconomic status—income, education, and occupation (Busemeyer & Iversen, 2020; Koos & Sachweh, 2019; Lindh, 2015; Svallfors, 2007)
- Perceptions of inequality and meritocracy (Castillo et al., 2025)
- Economic conservatism/liberalism (Lee & Stacey, 2024)

Contextual

- Social spending (Busemeyer, 2015; Busemeyer & Iversen, 2020; Immergut & Schneider, 2020)
- Economic inequality (Koos & Sachweh, 2019)
- Degree of privatization and market regulation (Koos & Sachweh, 2019; Lindh, 2015)

This study

Analyze the relationship between social class and preferences for market justice in pensions in Chile, and how these evolve over time

Examine the role of meritocracy in shaping the relationship between class and preferences for pension market justice

Hypotheses

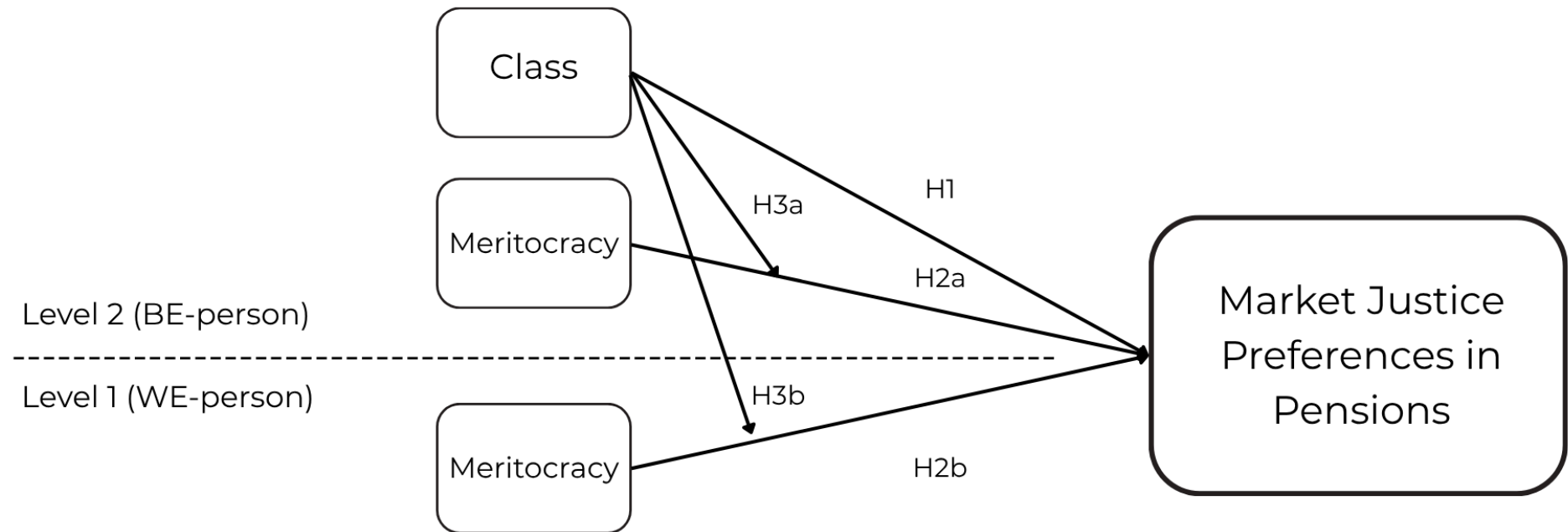


Figure 1: Hypotheses diagram



Methodology

Data

- **ELSOC (COES)**: a representative panel survey of the urban adult population in Chile, based on a probabilistic, stratified, clustered, and multistage sampling design across large and small cities
- Period: six waves (2016, 2017, 2018, 2019, 2022, and 2023)
- Attrition 2016→2023: ~ 40%
- Analytical sample (**balanced 6-wave panel**):
 - **N = 7,522 observations** (level 1) nested within
 - **N = 1,317 individuals** (level 2)

Dependent variable

- Item: ¿“It is fair that people with higher incomes have better pensions than people with lower incomes?”

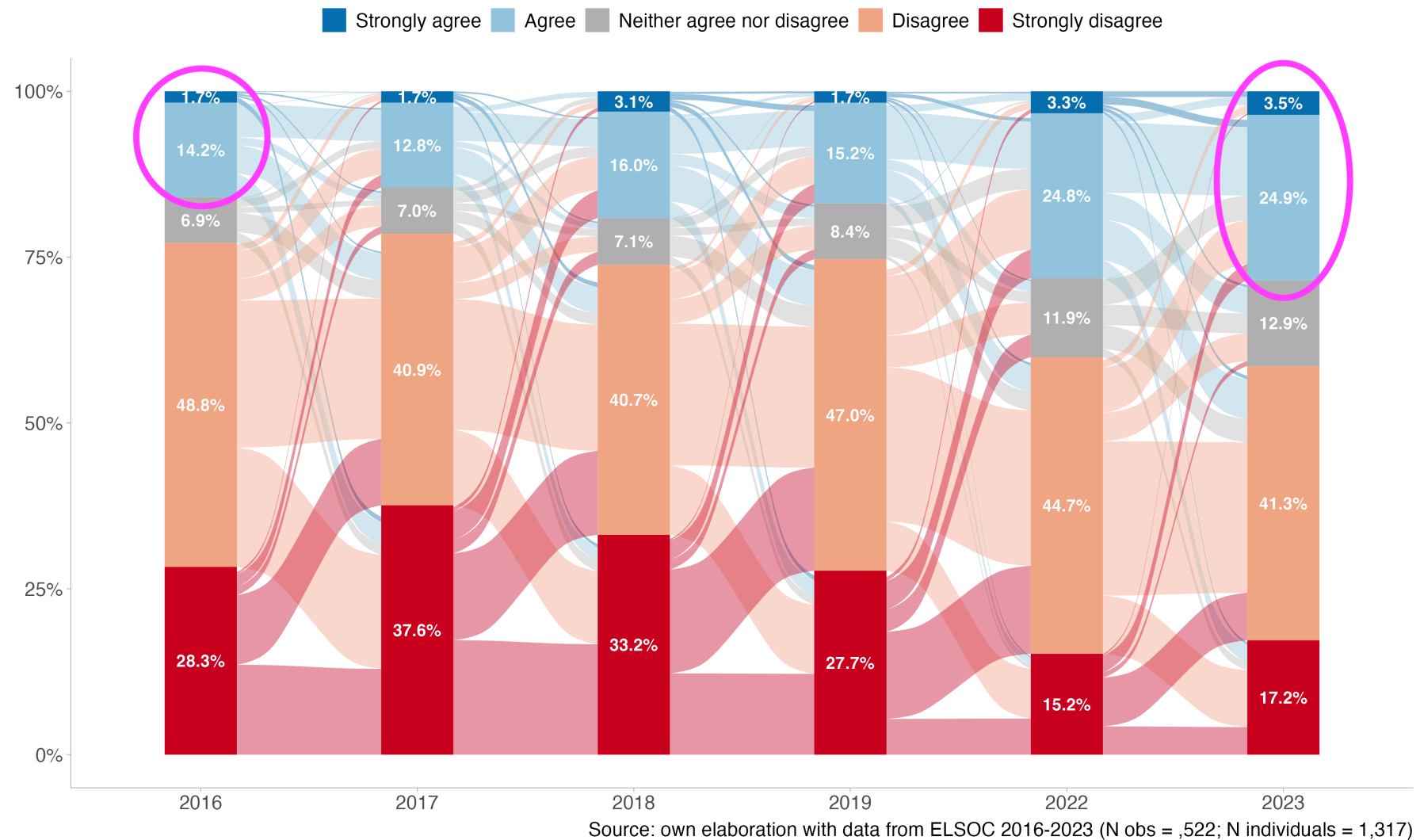
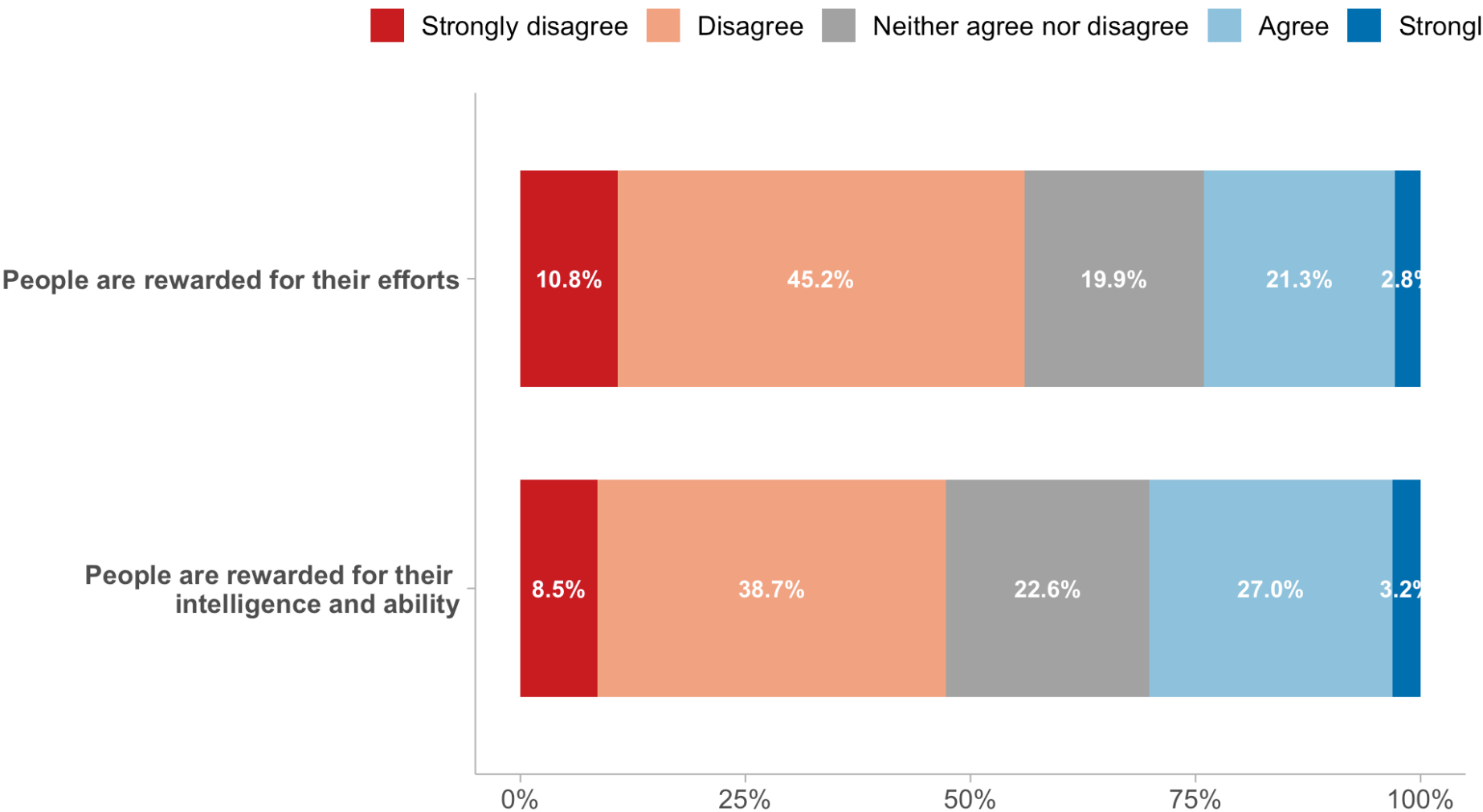


Figure 2: Distribution of responses for preferences for market justice in pensions in Chile (2016–2023)

Independent variables: Level 1



Source: own elaboration with data from ELSOC 2016-2023 (N obs = 7,522; N individuals = 1,317)

Figure 3: Distribution of responses for meritocracy items

Independent variables: Level 2

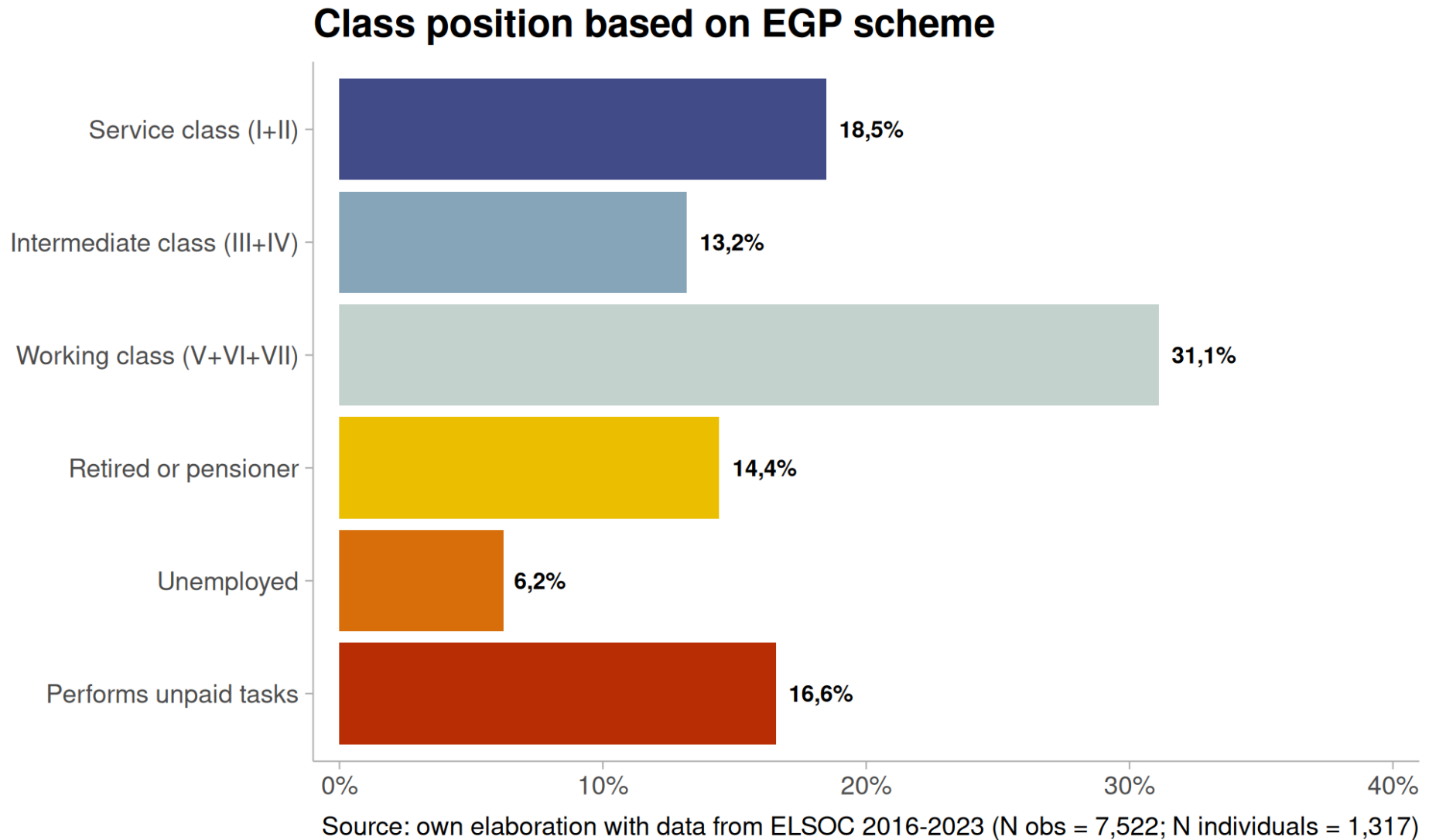


Figure 4: Frecuency of class position

- Fixed at the first wave (i.e., time-invariant) → captures average between-person differences (BE =)

Estimation strategy

Cumulative link mixed models (CLMM):

- Panel structure: repeated observations (level 1) nested within individuals (level 2)
- Models both *within-person* (WE) and *between-person* (BE) effects; includes random effects (intercept and time slope)
- WE/BE decomposition (person-mean centering) ([Bell et al., 2019](#)):
 - Within:
 - Between: $X_{it}^{WE} = X_{it} - \bar{X}_i$
- Formally: $X_i^{BE} = \bar{X}_i$

$$\eta_{it} = \beta_0 + \beta_1 \text{Time}_{it} + \beta_2 \text{Meritocracy}_{it} + \beta_3 (\text{Class}_i^{BE} \times \text{Meritocracy}_{it}^{WE}) + \beta_4 (\text{Class}_i^{BE} \times \text{Meritocracy}_{it}^{BE}) + \beta_5 (\text{Class}_i^{BE} \times \text{Time}_{it}) + \beta_6 (\text{Class}_i^{BE} \times \text{Meritocracy}_i^{BE}) + u_{0i} + u_{1i} \text{Time}_{it}$$



Results

Models

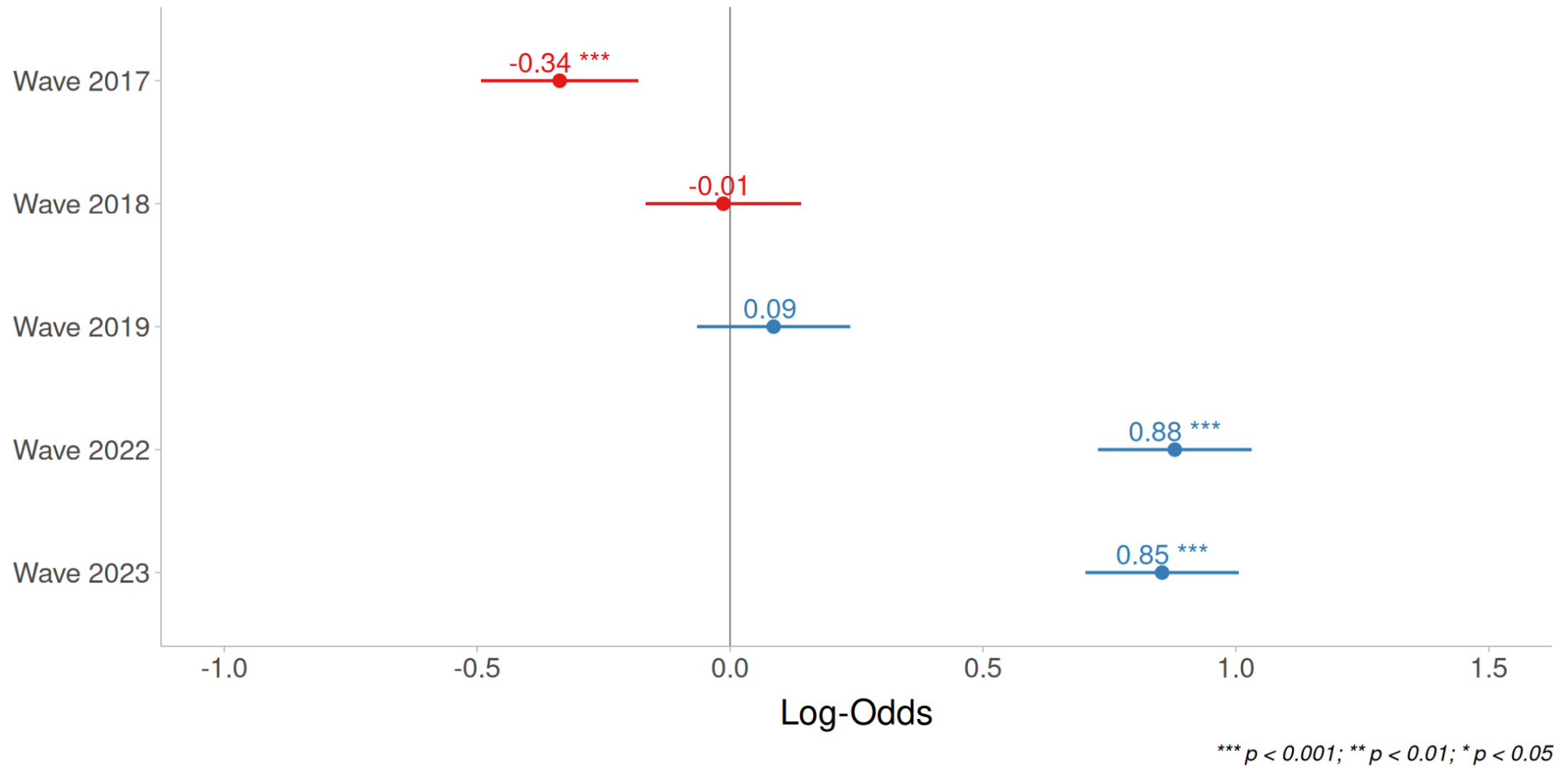


Figure 5: Changes across waves in market justice preferences in pensions

- ICC = 0.23 between, 0.77 within

Models

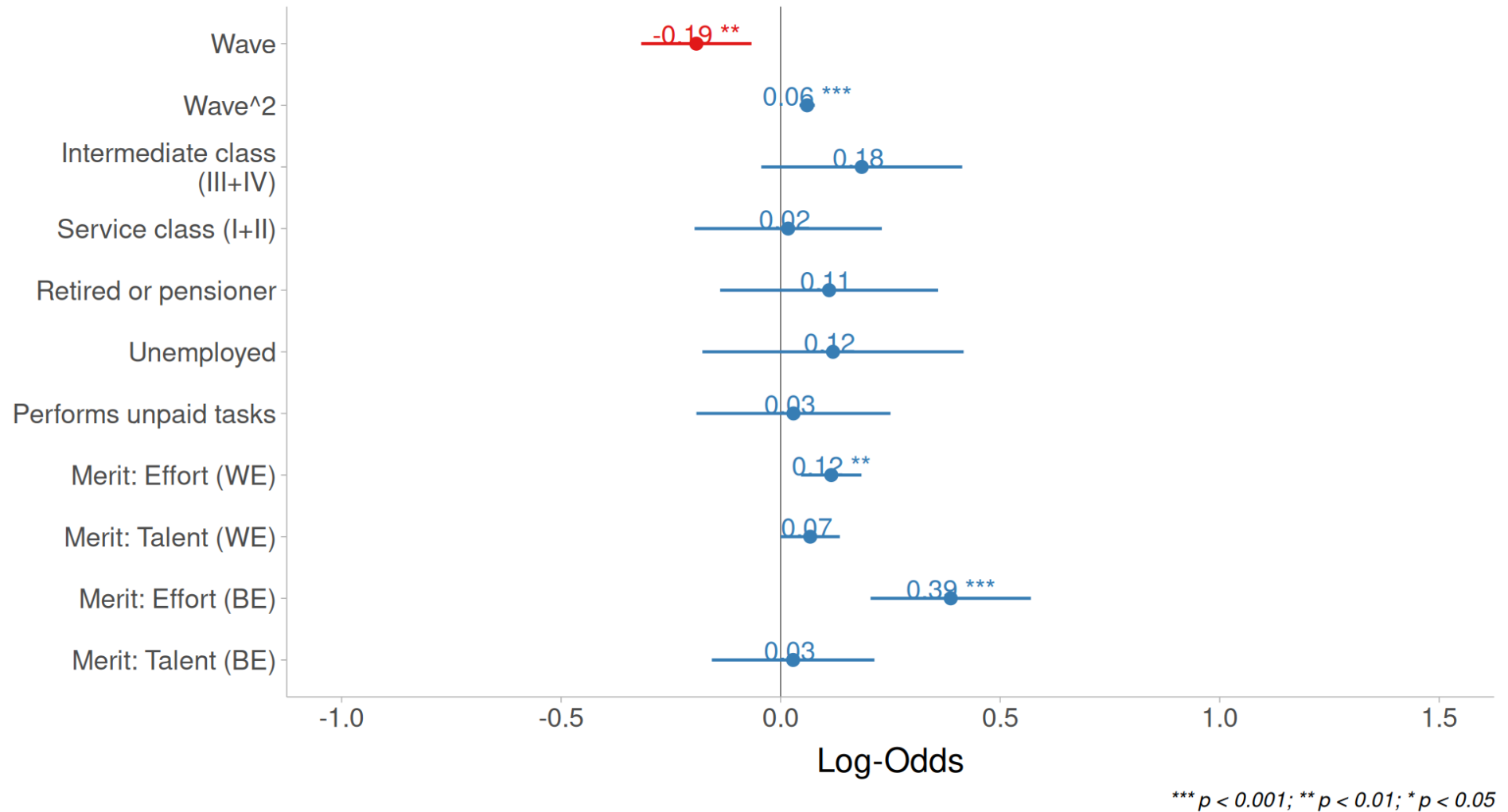


Figure 6: Main within- and between-person effects on market justice preferences in pensions

- All models control for: gender, age, educational level, and political identification

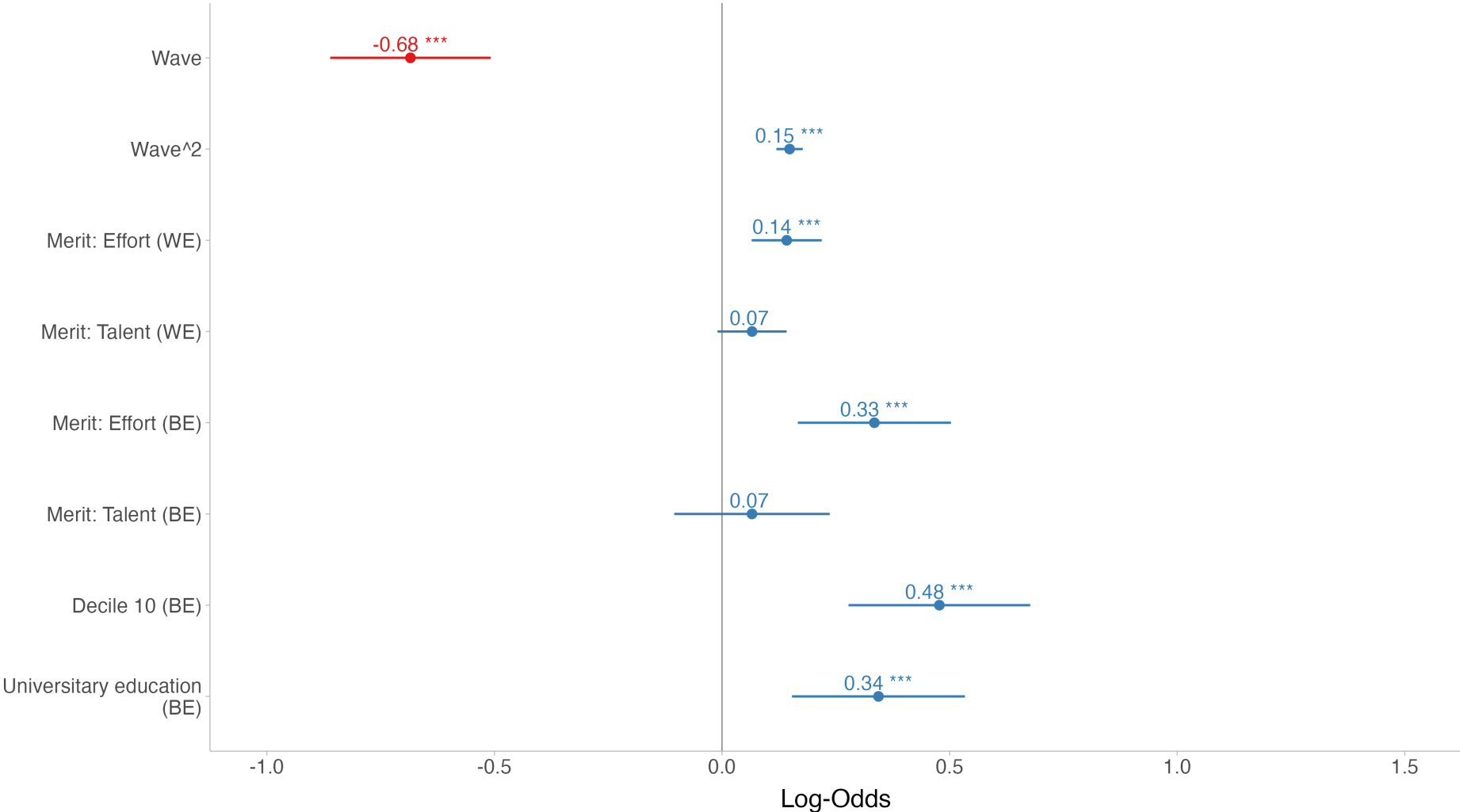
Discussion

1. **Time:** Preferences for market justice in pensions have increased in recent years in Chile
2. **Social class:** Higher social classes don't exhibit greater support for market justice in pensions than lower classes (H1) (Busemeyer & Iversen, 2020; Kerner, 2020; Lindh, 2015)
3. **Meritocracy:** The belief that effort is rewarded is associated with higher support for market justice in pensions (H2a and H2b) (Castillo et al., 2025)
4. **Class × Meritocracy:** There is no evidence of an amplification effect (H3a/H3b)

Caveats

- No evidence of class differences in support for pension market justice, but what about a more direct measure of stratification differences?
- Meritocratic beliefs show a strong and consistent effect. Yet, are measured in a highly reduced way, through effort and talent only

The role of income and education

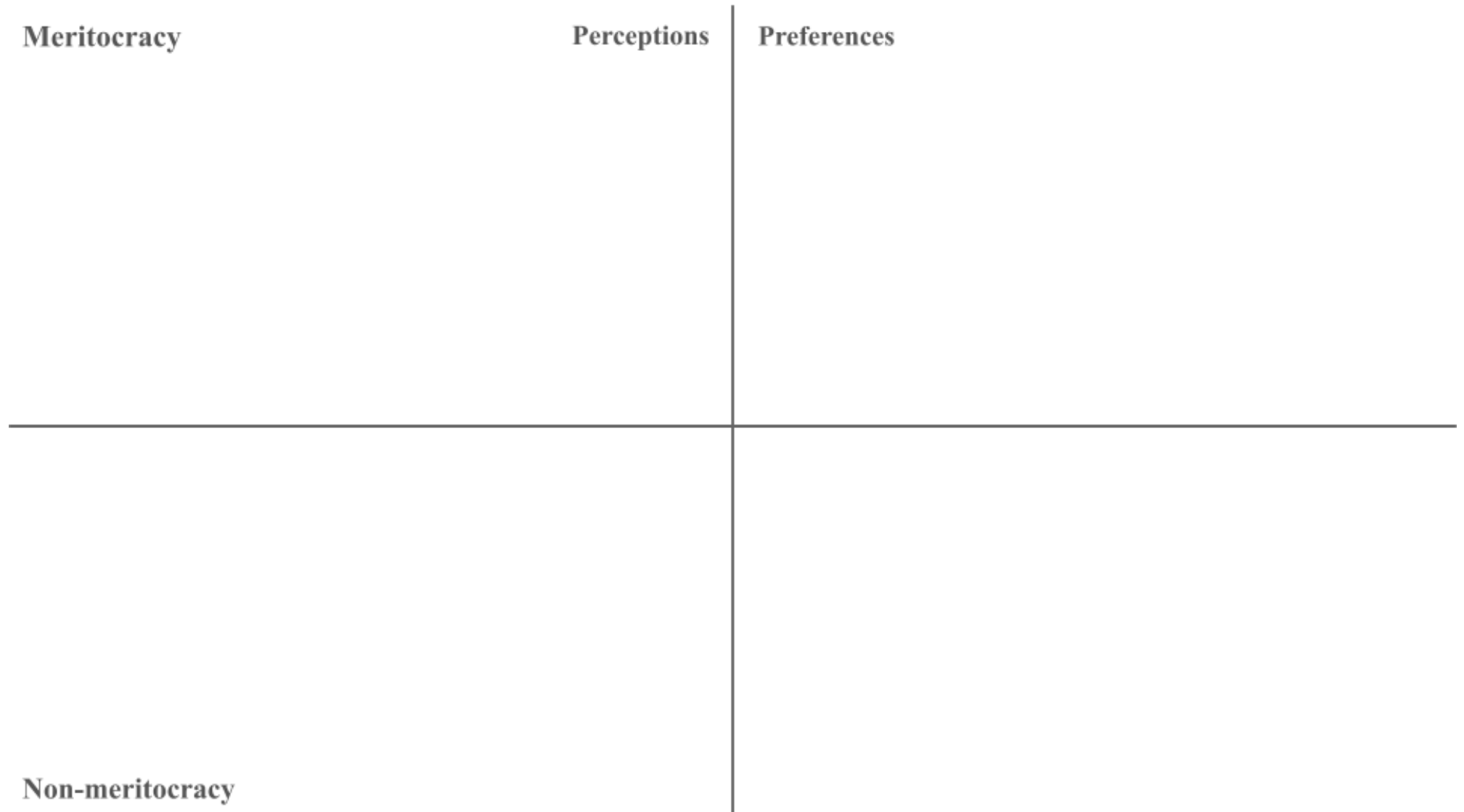


Source: own elaboration based on ELSOC data 2016-2023 (N obs = 6,123; N individuals = 1,327)
Controls: gender, age, and political identification
*** p < 0.001; ** p < 0.01; * p < 0.05

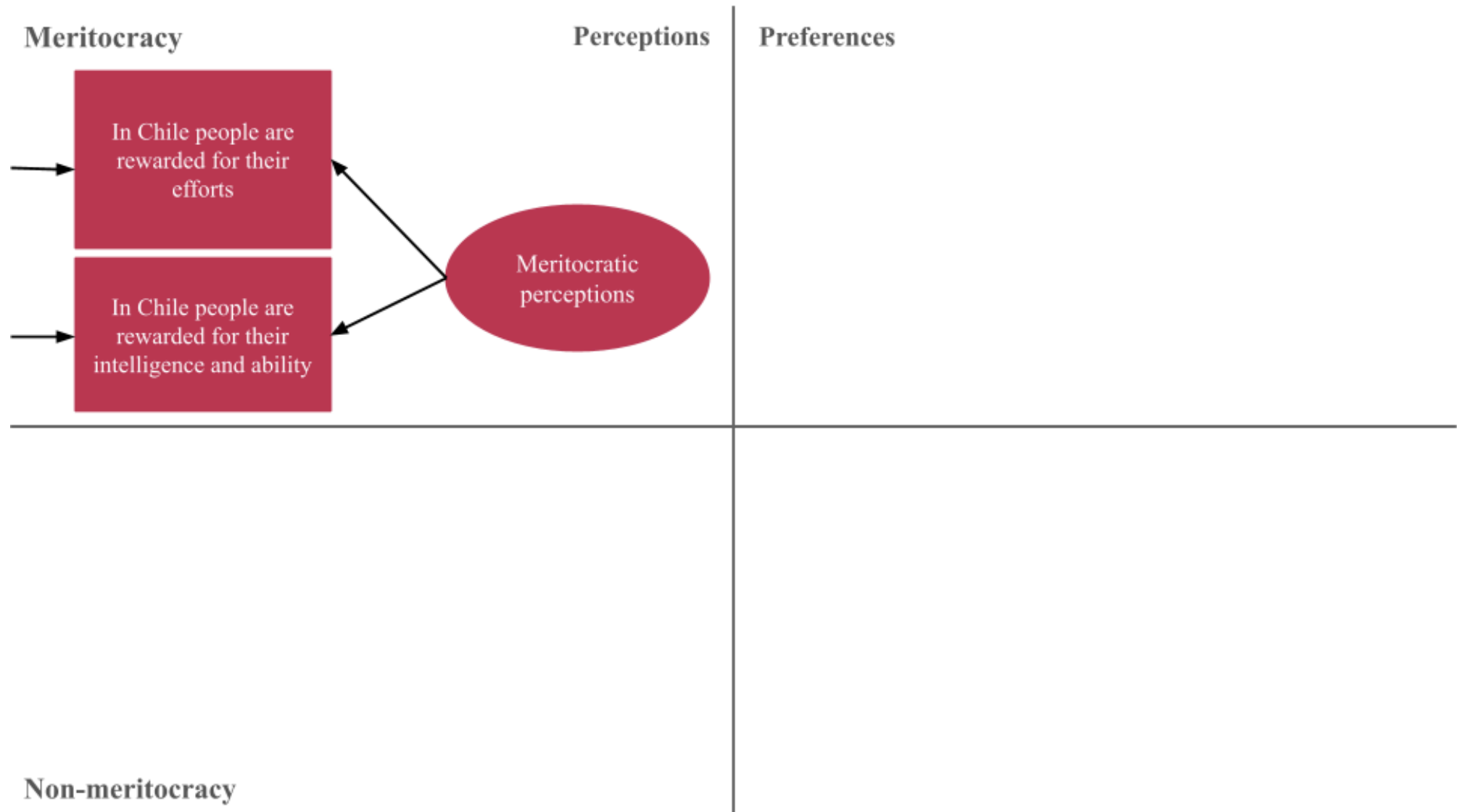
Figure 7: Main within- and between-person effects on market justice preferences in pension

Pension market justice and multidimensional meritocratic beliefs

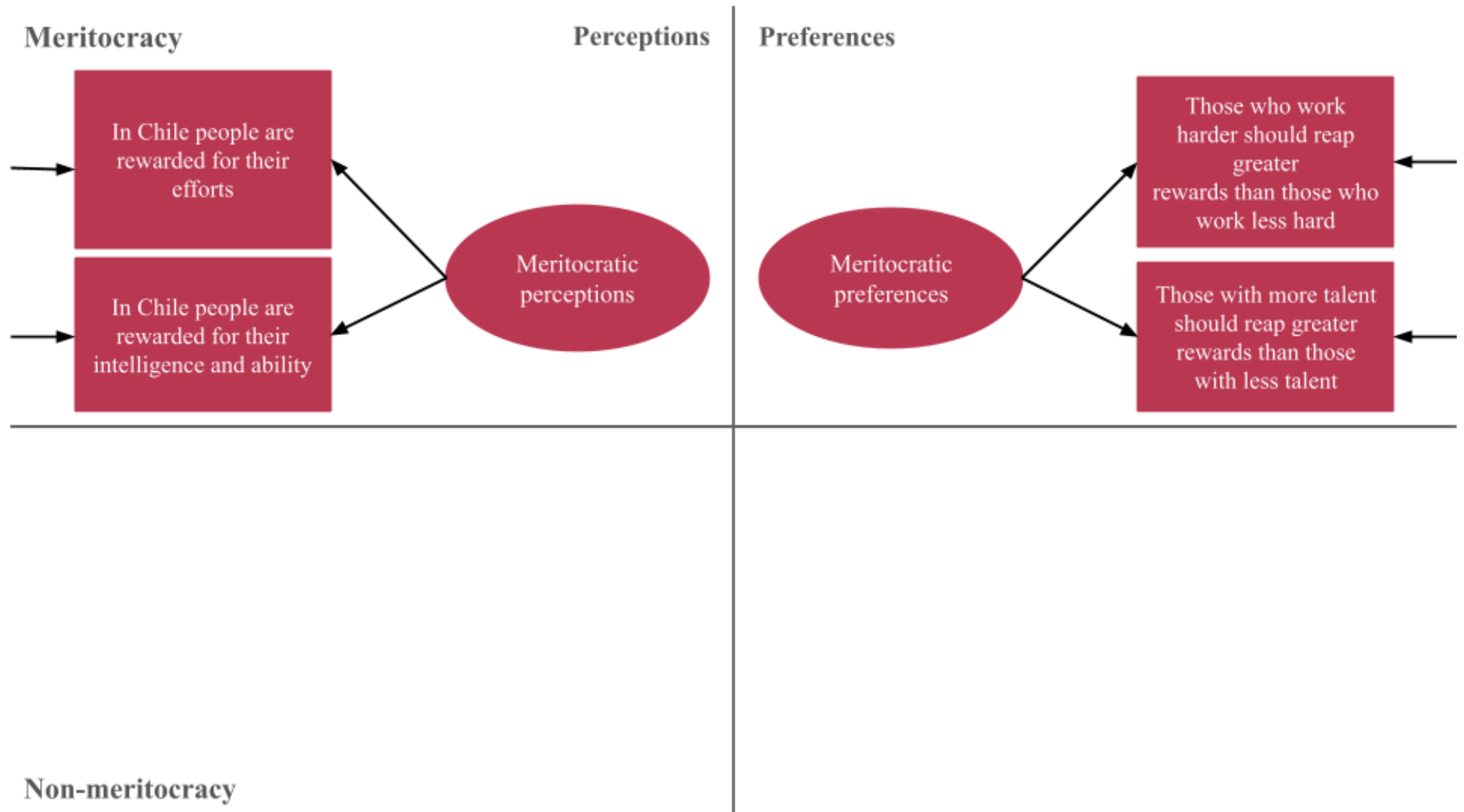
Multidimensional framework of meritocracy



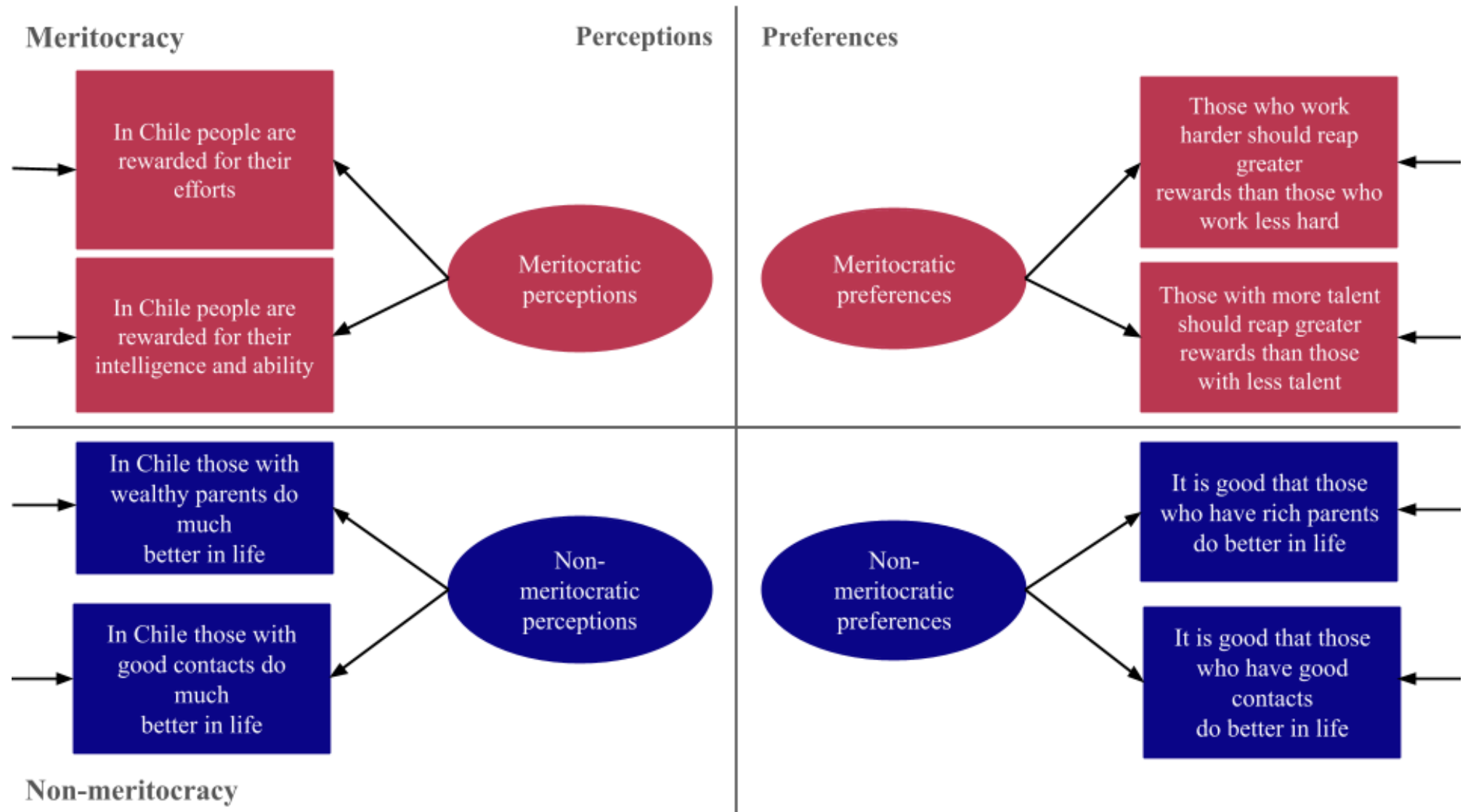
Multidimensional framework of meritocracy



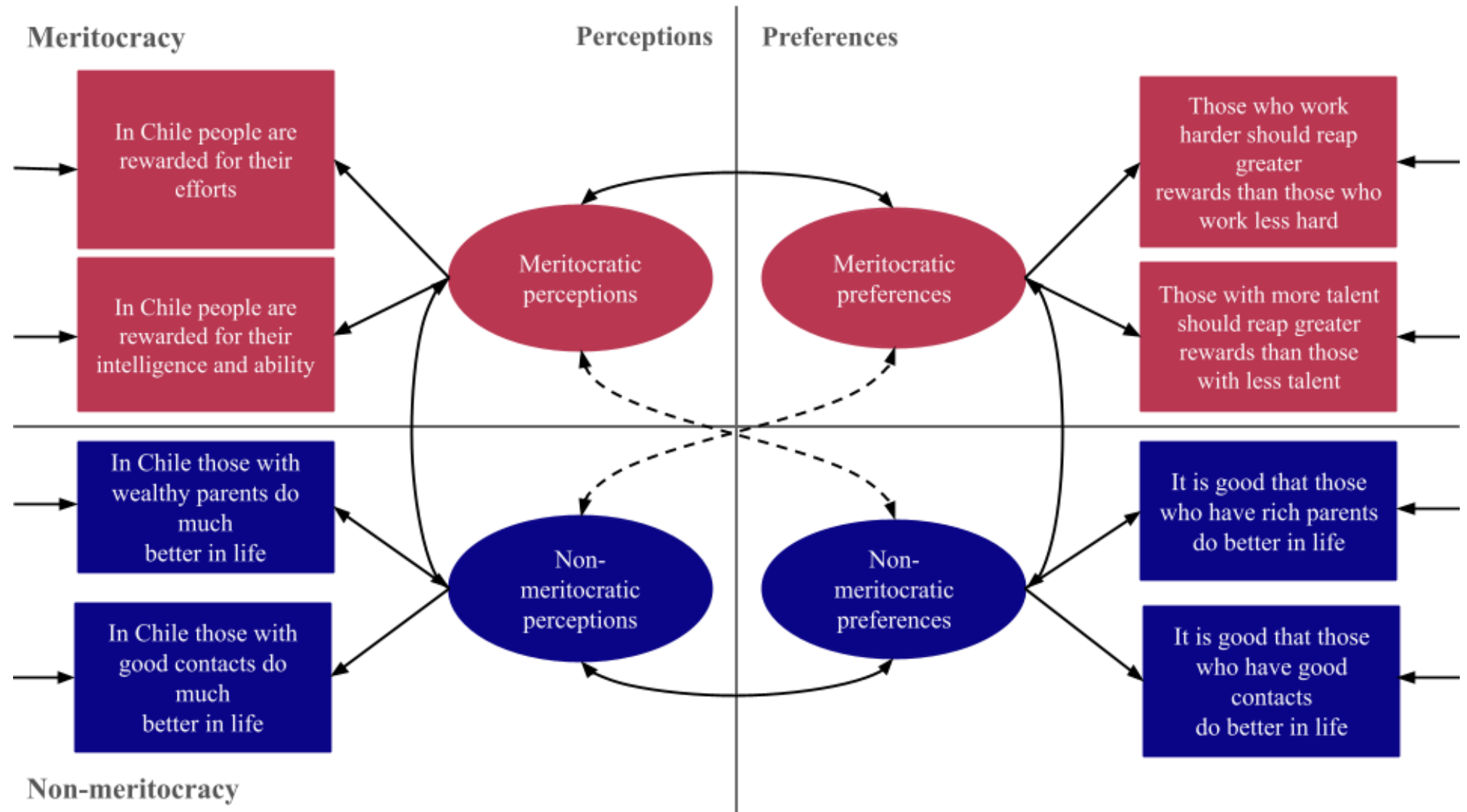
Multidimensional framework of meritocracy



Multidimensional framework of meritocracy



Multidimensional framework of meritocracy



Data

- EDUMERCO: Online survey (CAWI), fielded in 2025, with adult respondents from the Metropolitan Region of Chile
- Non-probability sample with quota-based design
→ approximating population parameters by age, gender, education, and socioeconomic status
- Total sample: $N = 3,470$
- Analytical sample: $N = 2,557$

Analytical strategy

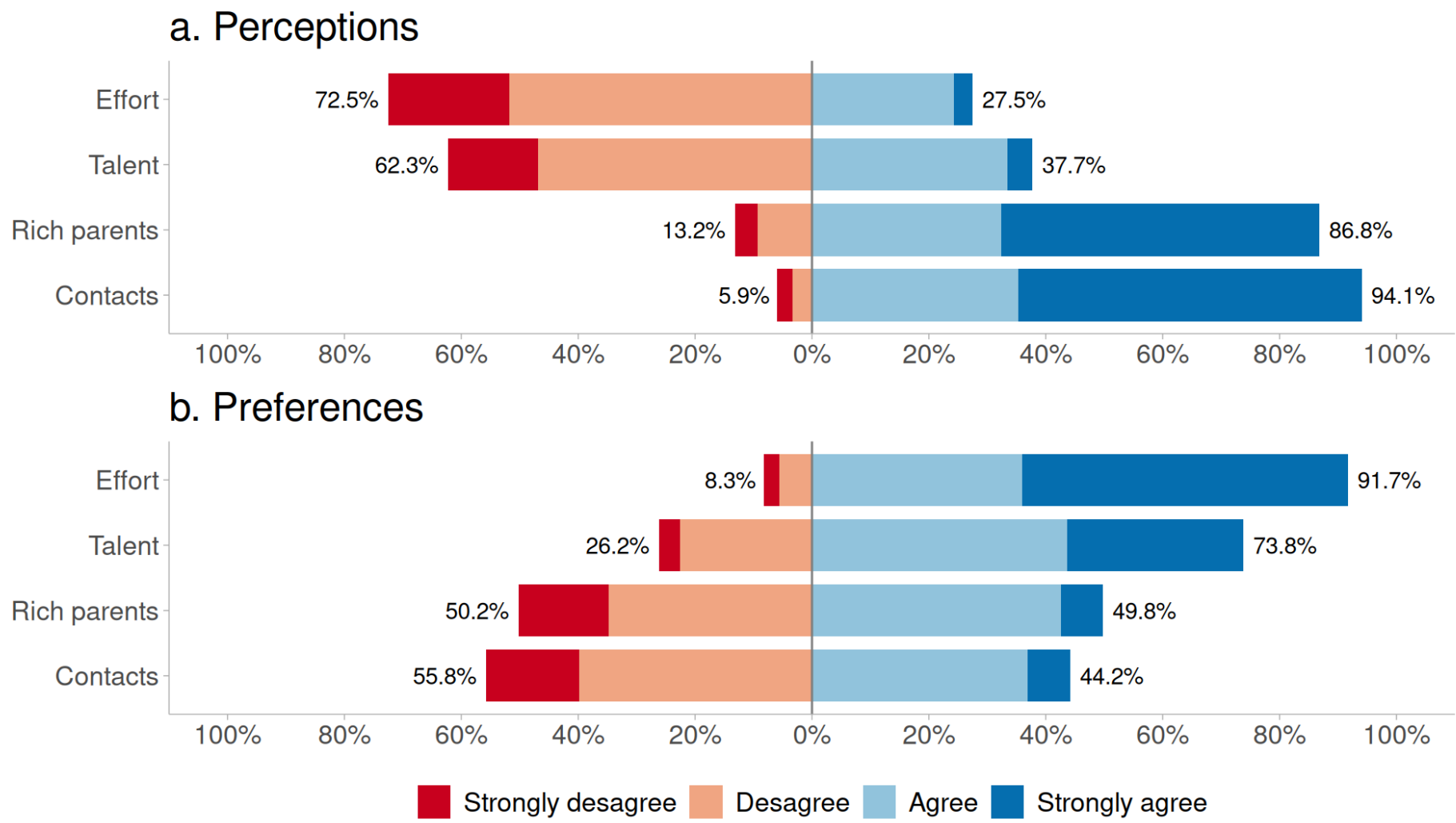
- First, we estimate a Confirmatory Factor Analysis of the multidimensional meritocracy scale
→ good model fit (CFI = 0.995, TLI = 0.991, RMSEA = 0.048)
- Second, we estimate a Structural Equation Model
→ pension market justice regressed on latent meritocracy factors

$$\text{MJP}_i = \alpha + \beta_1 \eta_i^{PM} + \beta_2 \eta_i^{PNM} +$$

- Estimation: WLSMV
→ appropriate for ordinal (Likert-type) data ([Kline, 2023](#))

Results

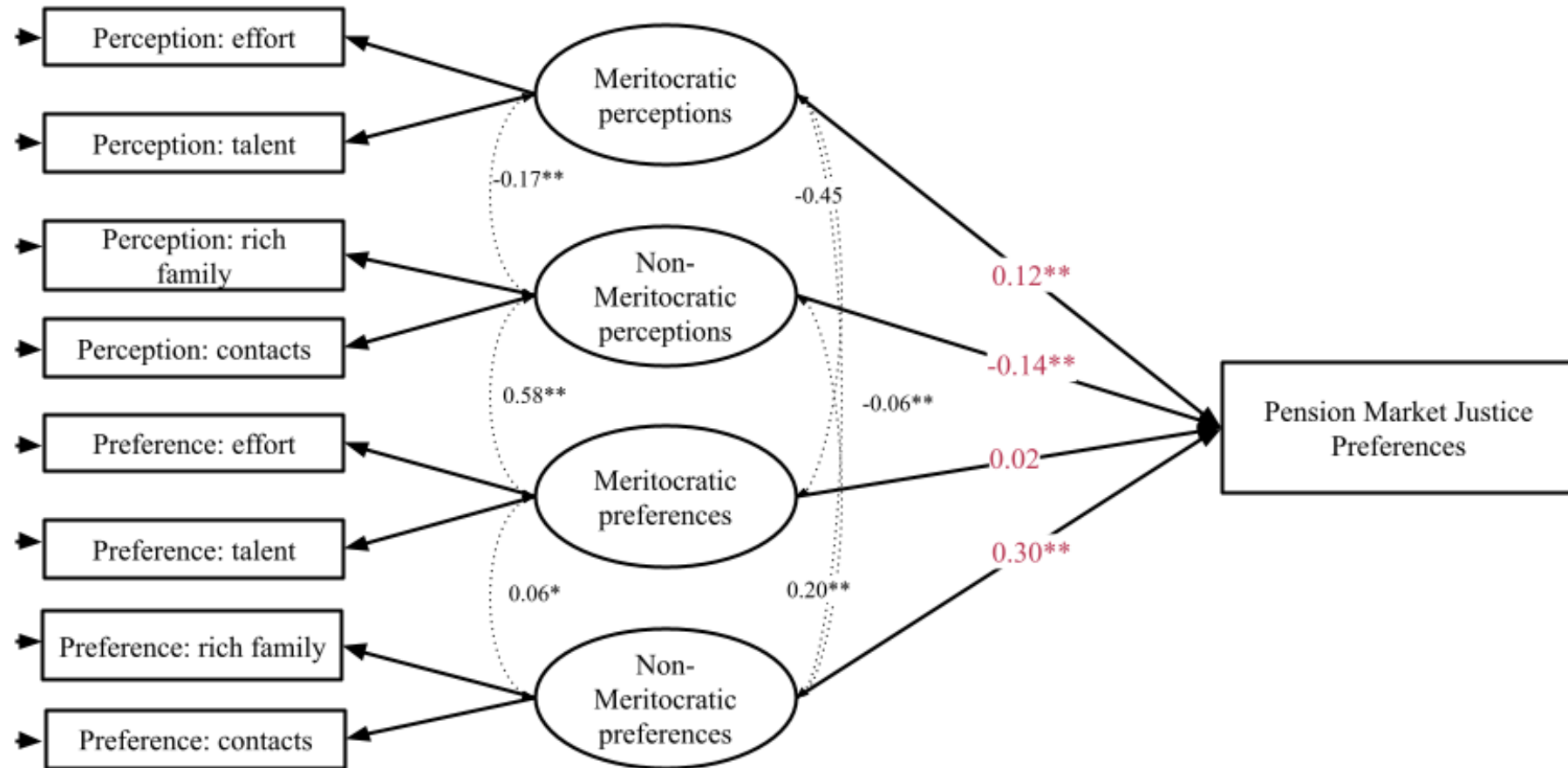
Descriptive



Source: own elaboration based on Survey EDUMERCO (n = 2557)

Figure 8: Distribution of responses on the scale of perceptions and preferences regarding meritocracy

Model



Model adjusted for: gender, age, income, education level, and political affiliation

WLSMV Estimation, standardized coefficients are shown, N=2,557
 Chi2=610.894*** / df=36, CFI=0.963, TLI=0.985, RMSEA=0.048
 ** $p < 0.01$, * $p < 0.05$

Figure 9: Structural equation model

Conclusions and implications

1. Reflection of market-based welfare on public attitudes (Busemeyer & Iversen, 2020; Lindh, 2015) -> increasing support for neoliberal arrangements
2. Effort-based meritocratic perceptions are positively associated with pension market justice, both between and within individuals
3. **Chile:** Support remains minority but is rising over time, consistent with longitudinal evidence from a highly commodified welfare context
4. Expanding meritocracy analysis: the multidimensional measure of meritocracy offers new insights regarding the role of non-meritocratic (privelege) factors.

Next steps

- **Market justice measurement:** We are refining the measure and extending it to additional welfare domains (as health and education)
- **Class measurement:** Despite the null findings, we do not abandon the argument that objective stratification shapes these preferences; we will test alternative measures of class and inequality
- **Meritocracy:** use of latent classes/profiles in order to capture different combinations of meritocratic beliefs, and their relationship with market justice preferences
- **Comparative analysis:** we are extending the analysis to ISSP data in order to compare the Chilean case with other welfare contexts
- **Experimental analysis:** design of survey experiments to test the causal effect of meritocratic beliefs on market justice preferences



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Supplementary Material

Bivariate

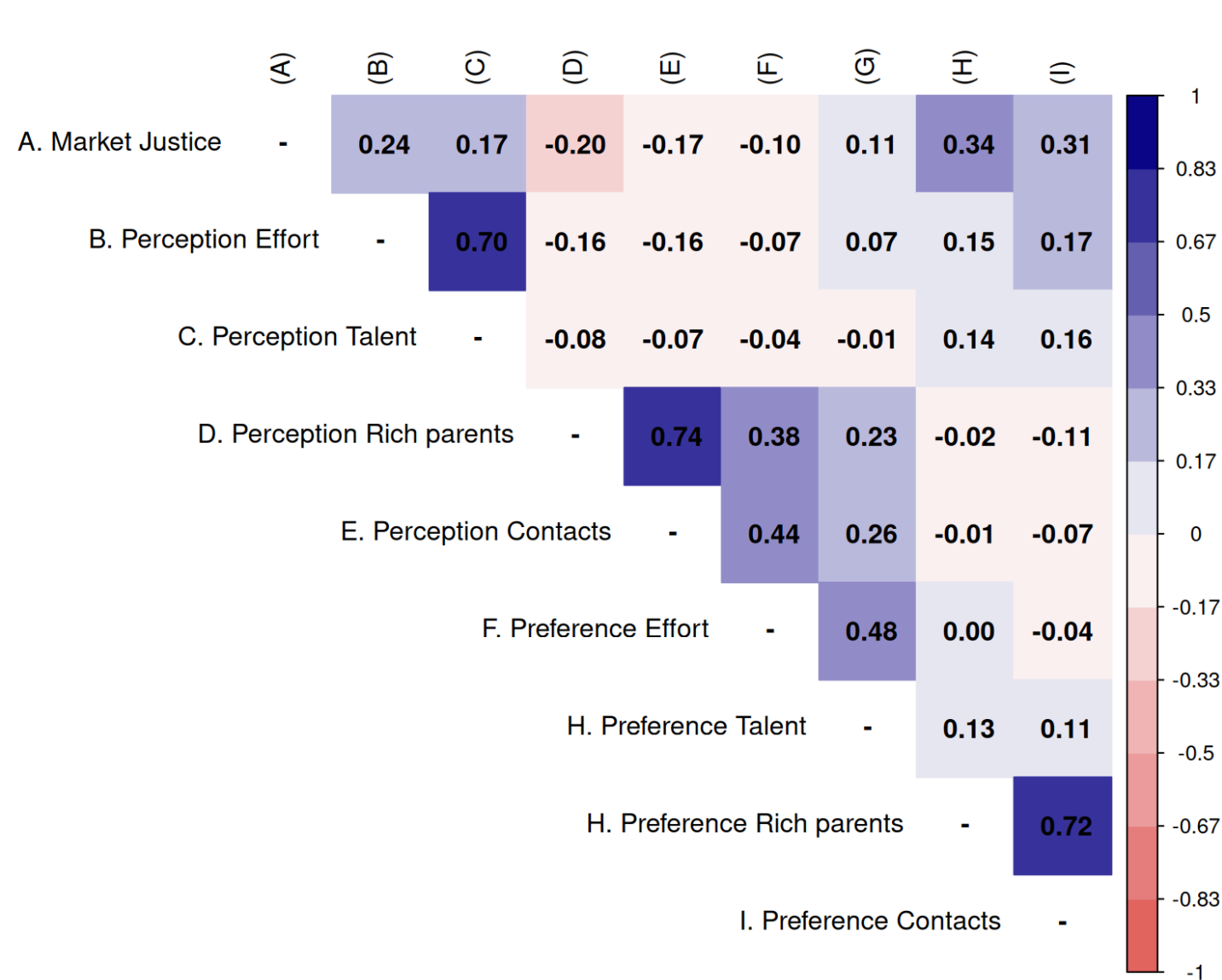
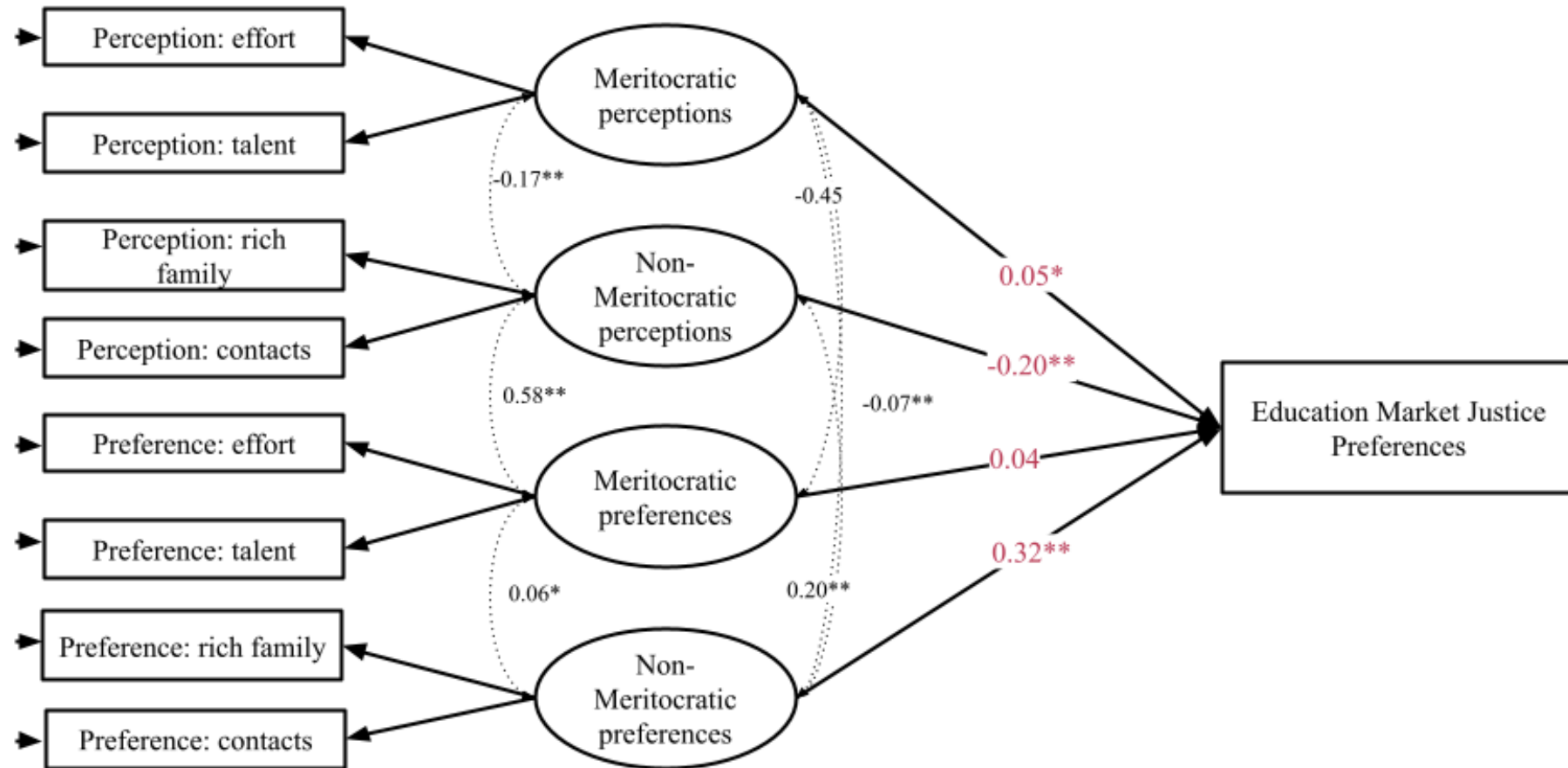


Figure 10: Correlation matrix between market justice and meritocracy scale

MIMIC Model: Education

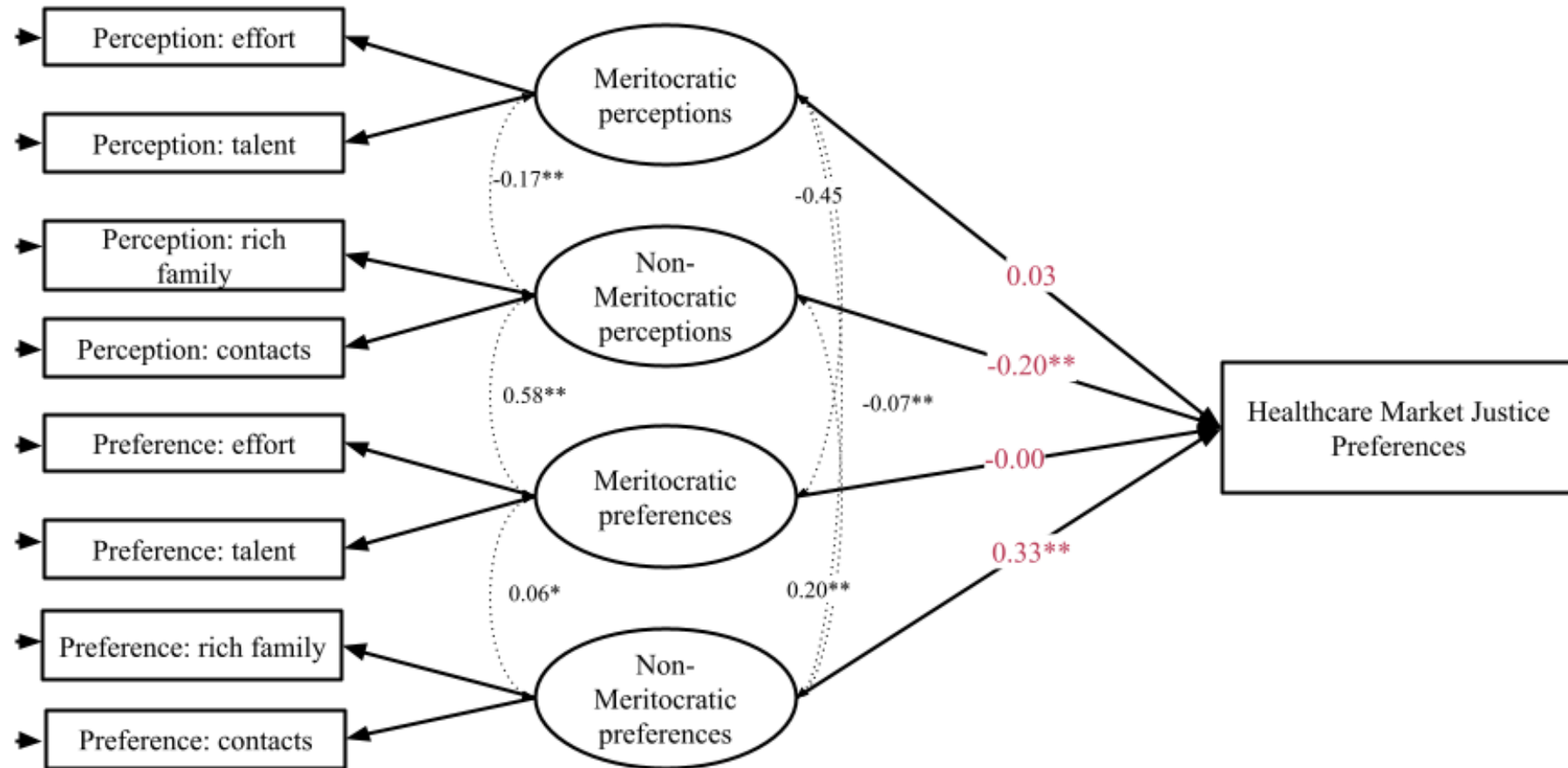


Model adjusted for: gender, age, income, education level, and political affiliation

WLSMV Estimation, standardized coefficients are shown, N=2,531
 Chi2=612.441*** / df=36, CFI=0.960, TLI=0.984, RMSEA=0.048
 ** $p < 0.01$, * $p < 0.05$

Figure 11: MIMIC Model for market justice preferences in education

MIMIC Model: Healthcare



Model adjusted for: gender, age, income, education level, and political affiliation

WLSMV Estimation, standardized coefficients are shown, N=2,540
 Chi2=606.209*** / df=36, CFI=0.961, TLI=0.984, RMSEA=0.048
 ** $p < 0.01$, * $p < 0.05$

Figure 12: MIMIC Model for market justice preferences in healthcare

